

we would have liked and we've been very open in acknowledging that," says Aggarwal, accepting that he underestimated the process. "We've delivered across the length and breadth of this country, but we underestimated the complexity, especially the logistics aspect and the interface with the RTO system. So, in December, when we got into it, obviously we were not delivering in the time that we had promised."

Initially, Ather Energy also tried to sell directly to customers through its experience store in Bengaluru before shifting to the dealership model as it expanded to newer cities. "We assumed customers will love this idea of buying automobiles online. Then we realised people still want to come to dealerships and test the product out, touch and feel it. Having traded purely online after four years of selling, we're building physical stores," says Phokela.

Okinawa's Sharma, too, says dealerships have their advantages. "We have to understand it's an automobile; it's not a gadget. One has to first go to a dealership and do a test ride and then take a call. Dealership model is always better, especially for the Indian market," he says, adding that Okinawa has 500-plus dealers in the country. It also has a system to book vehicles online, but delivery happens only through these dealers. "If some problem happens, they can go physically and talk to the person who sold the vehicle. In online, who will you complain to? A hybrid type of model will emerge in the future," says Sharma.

Ola Electric, initially, also had a brush with FADA. While the company in January claimed that it had increased production to a thousand a day, according to

TOUCHING THE SKY

Ola Cabs and Ola Electric have received high valuations from investors till now

VALUATION OF OLA CABS

• MAY '11	• NOV '16
• 0.40	• 3,122.04
• JAN '12	• MAR '17
• 1.12	• 3,532.26
• MAR '12	• JUN '17
• 9.97	• 3,991.51
• JUL '13	• SEP '18
• 29.24	• 4,013.70
• JUL '14	• DEC '18
• 176.63	• 4,203.32
• NOV '14	• JAN '19
• 632.93	• 6,158.05
• MAR '15	• MAY '19
• 2,505.27	• 6,642.32
• MAY '15	• DEC '21
• 2,451.22	• 7,028.91
• SEP '15	• FEB '22
• 4,803.34	• 6,700.00
• DEC '15	
• 4,556.90	

VALUATION OF OLA ELECTRIC

• FEB '19	• JAN '22
• 252.27	• 2,708.11
• JUL '19	• FEB '22
• 1,000.11	• 5,085.31
• OCT '21	
• 2,707.24	

ALL FIGURES IN \$ MILLION
SOURCE: TRACXN

FADA it had sold just 1,102 electric scooters in the month. FADA puts out monthly data sourced from the Ministry of Road Transport and Highways, which is, in turn, sourced from nearly 87 per cent of the country's RTOs. FADA had then said that Ola's daily production claims are not true. Typically, it takes three to four weeks for dispatching vehicles, and around a day to three days for delivery once a customer makes the full payment, and another two to three days for the RTO. "D2C is a new thing for India. This could be the new disruption coming in the market. We're only talking about transparency and customer service. We have nothing against Ola personally," says Vinkesh Gulati, President of FADA.

He says there are some positives of going through dealers and even if Ola didn't want to, it should have planned certain things before launching a product. "They launched a product without a system, service or registration setup. And then they blame the RTO, which we've been working with for the past 50 years. Whatever Bhavish has done for the Indian EV segment is no doubt outstanding. Even the negative publicity that Ola is getting is changing EV adaptability in India. The kind of hype it has created has motivated a lot of customers to buy an EV. If they're not satisfied with Ola, they'll buy others, but the demand will grow."

QUESTIONS ON TRANSPARENCY

Debate also abounds around Ola's lack of transparency from an ownership perspective. Ola Electric was incorporated in February 2017 by Ola (ANI Tech-